



Deutsche Bank
Research

What Q2's emerging themes mean for 2026 and beyond

1 Jul 2026

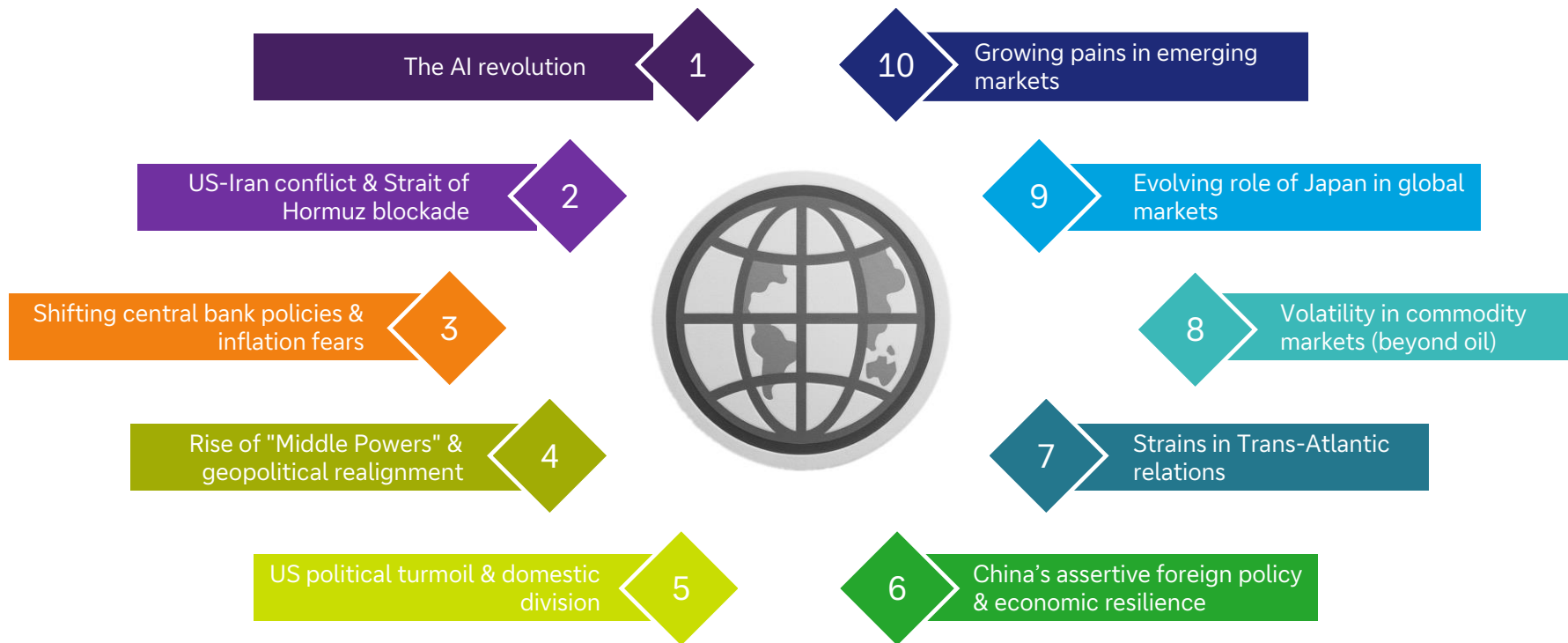
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Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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The themes driving markets in Q2 – based on AI analysis of our daily market commentaries

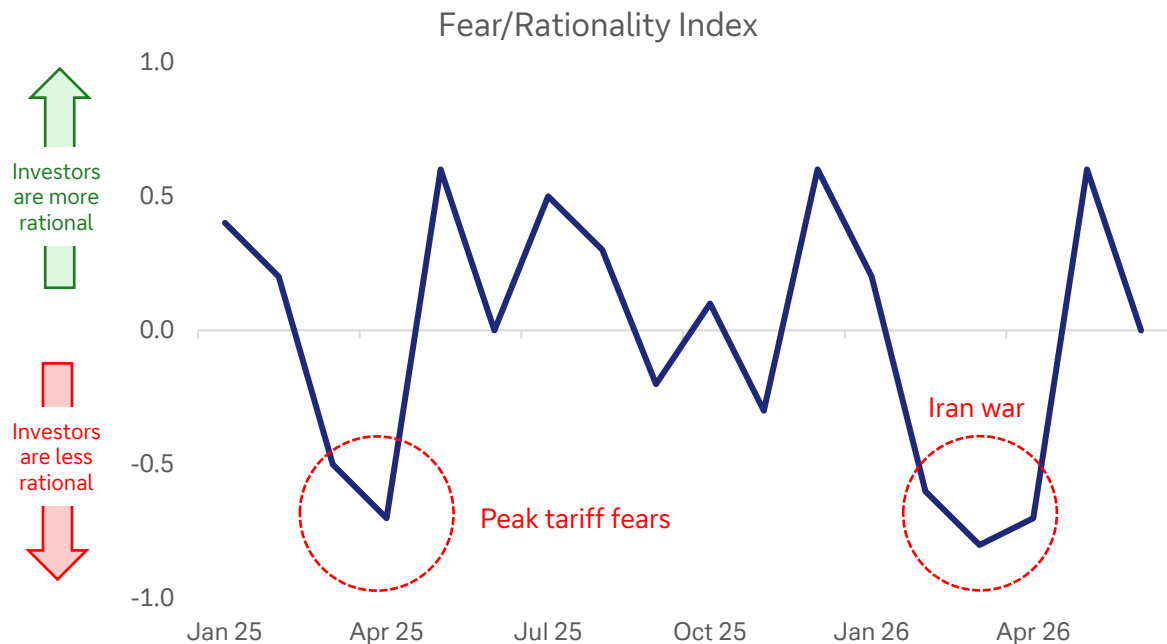


Are investors rational?

As markets began to recover from their Iran war-low, the investor buying was very rational. Now, that equity markets are close to their peak again, 'rationality' has moved to neutral ... but not into negative territory.



Our dbLumina gauge indicates investors have been irrational during market drops and periods of geopolitical tensions



What does it mean to be 'rational'?

Risk-off periods:

The tariff fears in 2025 and then Iran war in 2026 were key buying opportunities in equity markets. Yet, the overwhelming fear exhibited by investors in these periods largely meant they sold off risk assets in an emotional and irrational response.

Fear Indicators:

Sharp, disproportionate reactions to threats, widespread sell-offs on announcements, panic, flight to safety beyond what might be fundamentally warranted, strong emotional language (e.g., "roiled," "plunge," "blistering sell-off," "panic selling,").

The most 'emotion' we've ever seen

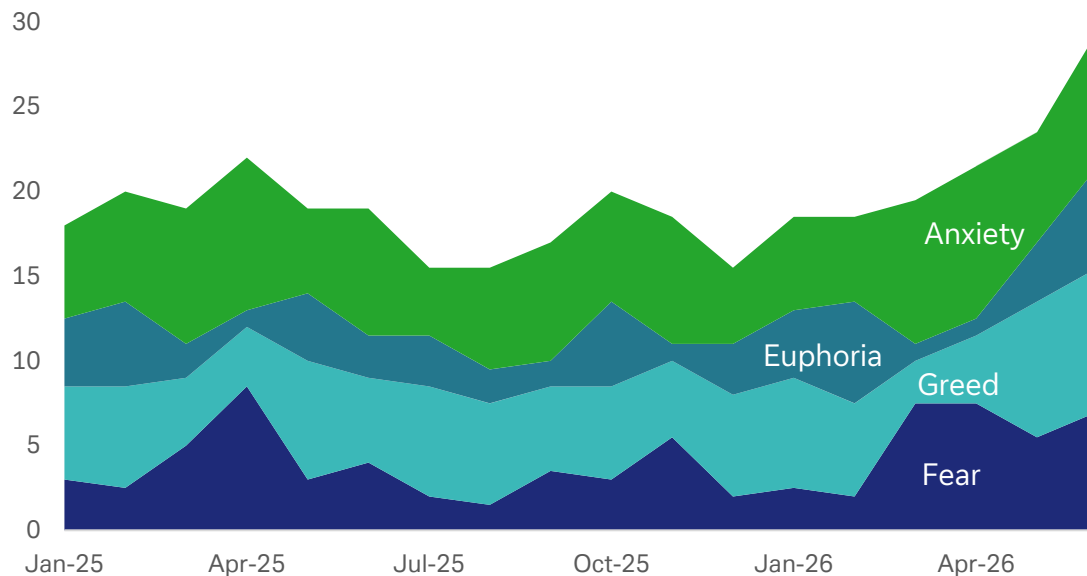
The four key market-moving emotions dominated trading in Q2. Hence the volatility in both directions.



Emotion was everywhere in Q2 – volatility followed

Status-quo bias is strong. That is creating more market volatility

The impact of investor emotions on global markets



Investors are loathe to consider the upside in bad times and the downside in good times. Thus, when sudden events change, market drops can be more aggressive than expected.

Some examples:

1. Rush to price in the downsides of tech disruption
2. Fear of considering sovereign risk
3. Fear of underperforming peers is greater than the desire to beat them
4. Unwillingness to price in the upside of iterative technology improvements
5. Narrow vision of what globalisation is and the fear that it has peaked

dbLumina's estimate of how each key theme in Q2 impacted the S&P 500



AI surge

Yet another strong rebound ... after yet another period of AI-rally scepticism



Iran conflict

Markets settled after their initial shock



Fed policy

Uncertainty about both Warsh and the Fed's response to energy inflation

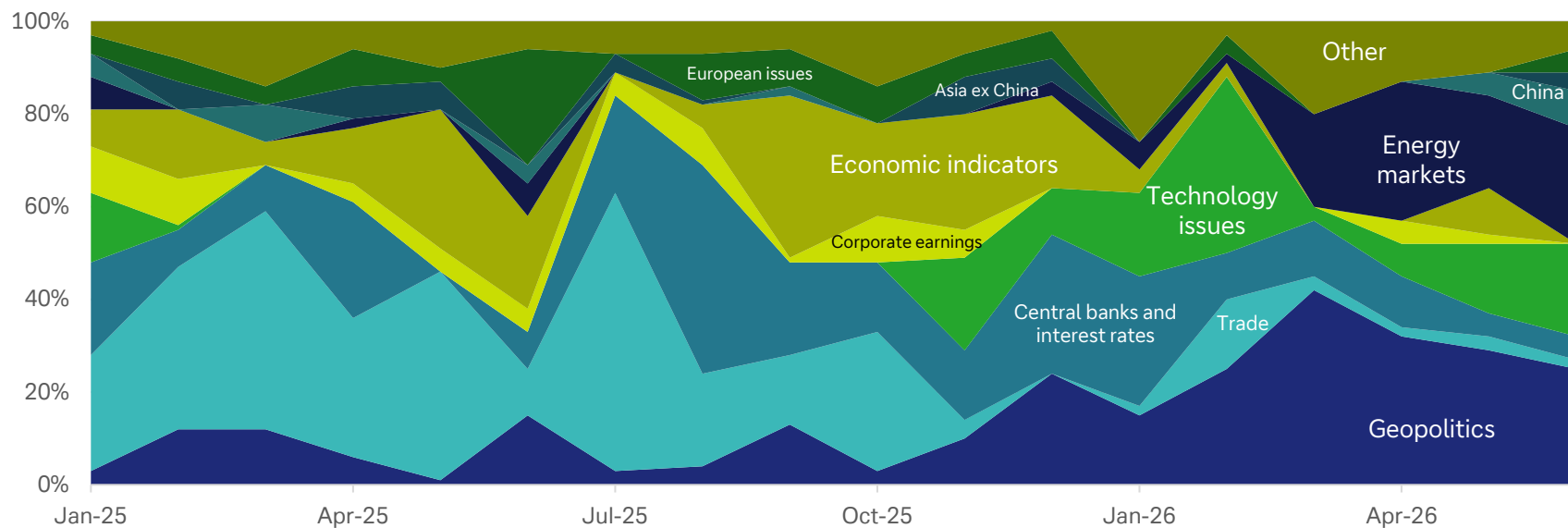
Impact of key themes on the S&P 500 in Q2



Our AI analysis shows how groups of themes have driven markets over time



The themes that impacted markets each month



The impact of today's themes 1 year ahead:

We asked our AI model, dbLumina, to analyse the impact of the themes for the quarter. The 'positive' and 'negative' indicators are relative to expectations at the beginning of the quarter. For example, a net negative score for the S&P 500 does not mean we expect the index to fall. Rather it means we see the rising probability that returns will be lower than previously expected.



Theme	GDP Growth	S&P 500	Interest Rates ¹	Inflation ¹
1 The AI Revolution	Strongly Positive	Strongly Positive	Positive (Upward)	Positive (Upward)
2 US-Iran Conflict & Strait of Hormuz Blockade	Negative	Negative / Volatile	Strongly Positive (Upward)	Strongly Positive (Upward)
3 Shifting Central Bank Policies & Inflation Fears	Negative	Negative	Strongly Positive (Upward)	Negative (Downward)
4 Rise of "Middle Powers" & Geopolitical Realignment	Neutral	Neutral	Neutral	Neutral
5 US Political Turmoil & Domestic Division	Slightly Negative	Negative / Volatile	Neutral	Neutral
6 China's Assertive Foreign Policy & Economic Resilience	Slightly Negative	Negative / Volatile	Neutral	Neutral
7 Strains in Trans-Atlantic Relations	Neutral	Slightly Negative	Neutral	Neutral
8 Volatility in Commodity Markets (Beyond Oil)	Neutral	Slightly Negative	Neutral	Neutral
9 Evolving Role of Japan in Global Markets	Neutral	Neutral	Neutral	Neutral
10 Growing Pains in Emerging Markets	Neutral	Neutral	Neutral	Neutral

	GDP Growth	S&P 500	Interest Rates ²	Inflation ²
Sum of positive/negative indicators (positive is +1, negative is -1)	-2	-3	-5	-2

1) For interest rates and inflation, "positive" implies upward pressure on rates/prices

2) A score >0 for interest rates and inflation is 'good' ie. they are expected to go lower.

The impact of today's themes 3 years ahead:

The medium-term picture now broadly reflects the short-term picture – a big change from last quarter when several risks were weighing on economies and markets



Theme	GDP Growth	S&P 500	Interest Rates ¹	Inflation ¹
1 The AI Revolution	Very Strongly Positive	Positive	Mixed / Uncertain	Negative (Downward)
2 US-Iran Conflict & Strait of Hormuz Blockade	Neutral	Neutral	Neutral	Neutral
3 Shifting Central Bank Policies & Inflation Fears	Neutral	Neutral	Neutral / Stabilizing	Neutral / Stabilizing
4 Rise of "Middle Powers" & Geopolitical Realignment	Slightly Negative	Slightly Negative	Neutral	Neutral
5 US Political Turmoil & Domestic Division	Neutral	Neutral	Neutral	Neutral
6 China's Assertive Foreign Policy & Economic Resilience	Slightly Negative	Slightly Negative	Neutral	Neutral
7 Strains in Trans-Atlantic Relations	Slightly Negative	Slightly Negative	Neutral	Neutral
8 Volatility in Commodity Markets (Beyond Oil)	Neutral	Neutral	Neutral	Neutral
9 Evolving Role of Japan in Global Markets	Neutral	Neutral	Neutral	Neutral
10 Growing Pains in Emerging Markets	Neutral	Neutral	Neutral	Neutral

	GDP Growth	S&P 500	Interest Rates ²	Inflation ²
Sum of positive/negative indicators (positive is +1, negative is -1)	-1	-1	Nil	1

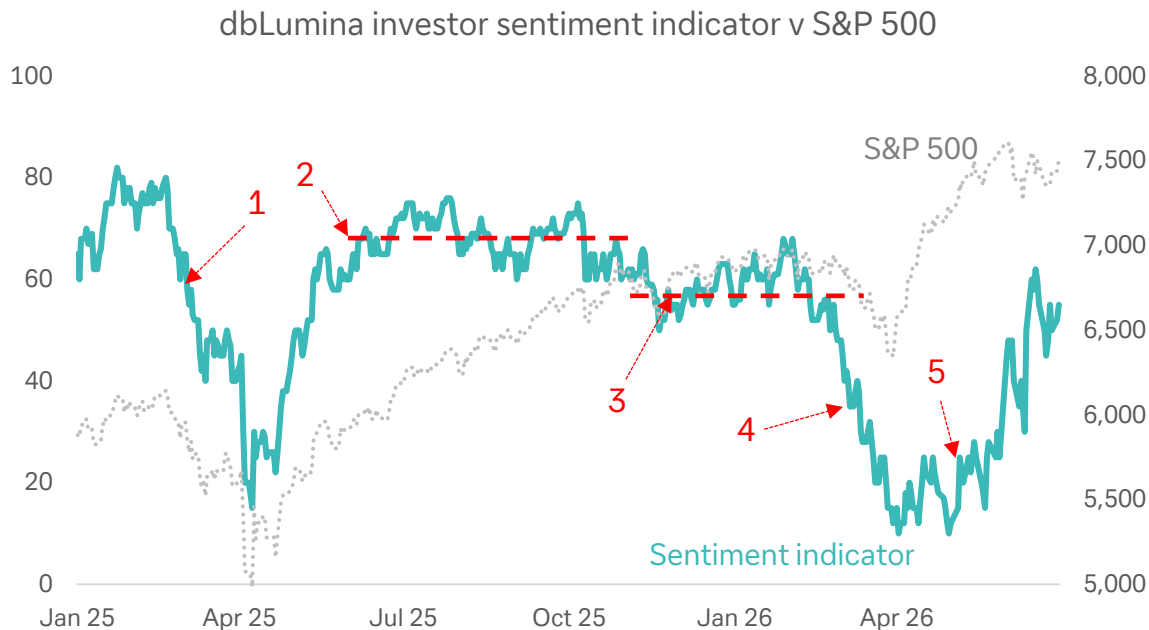
1) For interest rates and inflation, "positive" implies upward pressure on rates/prices

2) A score >0 for interest rates and inflation is 'good' ie. they are expected to go lower.

Our gauge of investor sentiment uses AI to interpret macro, economic, and market signals
This is our response to the fact that so many confidence indices today fail to reflect technological and social megatrends that now affect markets.



It is early days, but our gauge appears to be developing some predictive qualities



1. Indicator drops 20 points in Feb-25 before the most dramatic stock market declines relating to tariffs.

2. Consistent strong sentiment as markets recovered from the tariff-induced sell-off.

3. Lower sentiment as markets top-out on valuations and software/PC nerves grow. Yet, no catalyst for a large drop.

4. Our sentiment indicator commenced a steep drop on 3-Feb. It fell 20 points before the war in Iran kicked off.

5. The slower, more volatile recovery in our indicator foreshadowed the volatility in the S&P 500 during June

Emerging themes – part 1

We asked dbLumina to help us identify the key rising themes that have the potential to most impact markets and economies in the short term



1

The “sovereignty” premium in technology and AI

National governments are increasingly asserting control over the technology sector, extending beyond simple regulation to direct intervention in the name of “sovereignty.”

This is evolving from a focus on supply chains into more direct control over AI models and data infrastructure. Examples include:

- The US asking OpenAI to restrict its latest model, GPT 5.6, to “government-approved entities” only.
- The US-led “Pax Silica” alliance expanding, aiming to secure AI supply chains, including critical minerals and energy
- China adding Japanese companies to an export control list
- Talks between Anthropic and the US Commerce Department over security fears related to its AI models

This trend reinforces the trend towards a future where access to advanced AI and technology is becoming fragmented along geopolitical lines, creating a “sovereignty” premium on nationally-controlled tech assets and disrupting the globalised tech ecosystem.

2

The rise of the populist left in Europe

While the rise of the populist right has been a long-running theme, a complementary trend is now gaining traction across Europe: the re-emergence of the populist left.

This is beginning to create new political uncertainties and potential fiscal challenges in key European economies. Examples include:

- Alexis Tsipras, Greece’s former prime minister, announced his return to politics with a new party aimed at unifying the left.
- Across Europe’s ten largest countries, support for populist left parties is now “rivalling that of strictly centrist parties”.
- In the UK, Andy Burnham firmed as the favourite to become the next Prime Minister. He has previously supported greater government borrowing, causing some initial concern in gilt markets.
- Local elections in the UK showed a drive towards the populist left and right, putting pressure on centrist leadership.

The growing influence of the populist left could challenge the established fiscal consensus in Europe, potentially leading to increased government spending, greater sovereign debt issuance, and renewed focus on wealth distribution policies.

Emerging themes – part 2

A key learning from the 'emerging theme' analysis is the focus on some longer-term themes that have been pushed aside by the conflict in Iran and the focus on tech



3 The AI "picks and shovels" investment thesis

As the initial euphoria and fear around AI business models mature, a more pragmatic investment theme is emerging, focused on the underlying infrastructure and enabling technologies—the "picks and shovels" of the AI gold rush.

- The entry of three new firms—Vertiv, Lumentum, and Coherent—into the S&P 500, all of which specialise in AI supply chain components like power, cooling, and high-speed optical parts.
- Major plans from chipmakers Samsung and SK Hynix (potentially \$1.3tn over ten years) for chipmaking plants and data centres
- Comments from TSMC that global chip supply will be insufficient to meet demand "for years to come" reinforcing the long-term demand for the foundational hardware of AI.

This theme suggests a broadening of the AI investment landscape, with increasing investor attention on the less glamorous but potentially more durable companies that provide the essential hardware and infrastructure for the AI revolution.

4 "Middle power" diplomacy and strategic hedging

The "middle powers" are navigating changes to US foreign and trade policy, the tense relationship with China, and other global conflicts by building new alliances. They aim to hedge their dependencies and carve out more independent foreign policy paths. Examples include:

- A meeting of Mercosur's leaders to discuss the implementation of their trade deal with the EU
- Canada inaugurating a sovereign wealth fund specifically to reduce its economic dependence on the US and its Prime Minister visiting President Xi in Beijing to reset relations.
- Colombia's election of a new hard-right president, signalling a domestic policy shift that has implications for its relationship with the US.

Frequently, geopolitical trends take a long time to play out. This trend is accelerating on a monthly basis. It indicates the oft-talked about multipolar world is quickly becoming a practical reality. This creates new opportunities and risks in international relations and trade.

Current evolving risks

Today's key concerns revolve around assumptions that key risks will turn out to be positive for markets. A big assumption.



1

Geopolitical Miscalculation in the Middle East

The fragile US-Iran ceasefire could unravel at a moment's notice.

Iran is constantly testing the truce, including attacks on shipping and back-and-forth military strikes

Markets appear far too sanguine about the risks of a reignition of a full-scale conflict.



2

AI-Driven Market Disruption and Valuation Risk

AI is a dual risk: the potential for disruptive technology to upend established business models and the risk of a valuation bubble in AI-related stocks.

Further AI sell-offs in non-tech sections also appear possible following similar instances in wealth management and private capital.



3

Sovereign Debt Fragility and Fiscal Strain

Global sovereign bond markets showed increasing signs of stress.

We do not expect a serious developed-market default, but several factors increase the risk of fear-based market sell-offs.

Japan and Europe remain clear risks. Secondary effects could press through other markets, particularly if oil prices flare up.



4

A US Consumer and Labor Market Slowdown

The economic indicators continue to show an inconsistent trend and investors may have become too used to the US labour market 'always finding a way through'.

Persistently low consumer sentiment risks turning into a broader downturn should another shock (such as a renewed energy crisis) hit the US economy.

Emerging risks underestimated by the market – part 1

Iran and tech dominate risk equations but several risks are underestimated



1 Social & political backlash against "Big Tech" and AI

An undercurrent of social and political resistance to the influence of technology and AI is steadily growing. While the market is focused on the economic disruption and investment opportunities of AI, a broader societal backlash is forming that could lead to significant regulatory, legal, and fiscal headwinds for the sector.

Examples:

- Legal & Regulatory: A California court ruled on tech companies creating addictive platforms for minors. Governments are also proposing legislation, such as Canada's bill to ban social media for children and similar measures being considered in the UK, France, and Spain.
- Societal & Fiscal: South Korea has proposed a "national dividend" funded by tax revenue from AI-related profits. Ireland has demanded that new data centres "Bring Your Own Power" (BYOP),

Potential Impact (1-3 Years):

- Inflation/Equity Prices: A wave of litigation and stringent regulations could impose massive costs on major technology firms
- Interest Rates/GDP Growth: New taxes on AI or technology, like the proposed "national dividend," could alter fiscal landscapes and influence government spending, potentially affecting GDP and central bank interest rate policy.

2 The politicisation of trade and infrastructure

Beyond standard tariffs, a more complex and unpredictable risk is emerging where critical trade routes and infrastructure are being used as leverage in geopolitical disputes.

The market has treated the Strait of Hormuz situation as a temporary, energy issue, yet it is a dangerous example of the politicisation of global chokepoints

Examples:

- Control over chokepoints: Iran has demonstrated its ability disrupt traffic in the Strait of Hormuz at a very low financial cost to establish a persistent form of leverage over the global economy.
- Targeting infrastructure: Continued Iranian attacks on neighbouring countries sets a dangerous precedent for how other conflicts may play out

Potential Impact (1-3 Years):

- Inflation/GDP Growth: The risk of similar disruptions in other global chokepoints could lead to recurring supply chain crises, driving sustained inflationary pressures and hampering global GDP growth.
- Equity Prices: Sectors reliant on global shipping, manufacturing, and stable energy supply may face recurring shocks to their earnings and valuations.

Emerging risks underestimated by the market – part 2

Iran and tech dominate risk equations but several risks are underestimated



3

The fragmentation of the EU's political centre

While the market has reacted to specific events like the UK leadership turmoil, it appears to be underestimating the broader, structural trend of political polarisation that could threaten the EU's cohesion and policy-making ability.

Examples:

- Rise of the Populist Left: Support for these parties now rivals that of strictly centrist parties. Just one example was the return of Alexis Tsipras in Greece.
- Internal EU Disagreement: Disagreements on core policies are becoming more pronounced. The summit on European competitiveness revealed a lack of alignment between France and Germany on joint eurobonds, leading to a suggestion that a smaller group of countries might push ahead with "enhanced cooperation".
- Weakening of Traditional Alliances: The UK's political instability has been a consistent theme, while the EU's response to US tariff threats and the US-Iran conflict has been disjointed

Potential Impact (1-3 Years):

- Interest Rates: A breakdown in fiscal cohesion could lead to diverging sovereign bond yields and increased risk premiums for fiscally weaker EU member states
- GDP Growth/Equity Prices: Political paralysis or a turn towards protectionist policies could stifle the single market, hindering the continent's growth and impacting the performance of European equities.

4

'Grey Zone' escalation and the limits of military deterrence

"Grey zone" tactics—actions that are hostile but fall below the threshold of conventional warfare—are growing. Iran's recent actions have demonstrated that a technologically inferior power can impose significant costs on a military superpower and its allies, a risk that the market has not fully priced in.

Examples:

- Asymmetric Warfare: Iran's ability to close the Strait of Hormuz along with its cheap rockets and drones that have been a severe burden on the far more expensive US and Israeli interceptors.
- Proxy Forces: Iran has proven adept at enlisting loyal groups like the Houthi rebels in Yemen and Hezbollah in Lebanon to exert pressure and escalate the conflict horizontally.
- Economic Disruption as a Weapon: Iran's strategy involved not just military threats but also creating regional instability and economic pain – tactics that could be replicated in other conflicts.

Potential Impact (1-3 Years):

- Inflation/GDP Growth: A proliferation of these tactics globally could lead to a state of perpetual, low-level conflict, disrupting trade, raising insurance costs, and creating a persistent drag on global growth and a floor for inflation.
- Equity Prices: Defence sector stocks may benefit, but the broader market would likely face a higher risk premium due to the constant threat of unpredictable disruptions.



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